

It has been estimated that, in the Middle East alone, the production of desalinated water will increase by 14 times before 2040²³ and new demand will mostly be met through plants that use the reverse osmosis technology, extensively used by Fisia impianti in its ongoing projects. It allows a reduction in GHG emissions of around six times that of thermal desalination plants.

A common thread linking all the Group's business areas is the growing focus on new infrastructure's resilience to climate change. Alongside the usual studies of the durability and safety of infrastructure, specific studies are increasingly commissioned on the expected climatic situation in the areas where the projects are taking place. They are designed to understand the potential future effects of these climatic factors on the works (e.g., the volume of rainfalls, wind strengths and temperatures) to improve their resilience.

This issue is of great importance for works that are heavily exposed to the effects of atmospheric agents, such as roads, bridges and viaducts, as their resilience over time is essential to their users' safety. The Company has accumulated significant experience in the use of design techniques and studies of materials that reflect future climate projections. Example of this are the award-winning Skytrain Bridge, built as part of the Sydney Metro Northwest project and designed to stand up to rain, flooding and winds forecast after 2100 or the New Genoa Bridge, designed to deal with the expected increase in rainfall over the next 80 years.

The Group's carbon footprint

The direct risk to the climate generated by the Group's activities mostly relates to the use of fossil fuels in operations and materials which involve carbon intensive processes (e.g., cement and steel).

Considering the entire life cycle of the Group's projects, these effects are temporary, as they only take place during the construction period, and should be considered in light of the benefits of using the infrastructure, which has a much longer useful life, usually at least a couple of decades. In fact, many works are designed to be operated over 80 to 100 years if not longer.

While the Group's business is characterised by highly customised processing, techniques and technologies depending on the specific requirements of the works to be built and the characteristics of the areas where they will be located, Salini Impregilo has actively pursued improvement in energy efficiency for some years to decrease its carbon footprint. The following tables show its energy consumption and the related GHG emissions:

²³ Source: IEA, Desalinated water affects the energy equation in the Middle East, Molly Walton, 2019.
<https://www.iea.org/commentaries/desalinated-water-affects-the-energy-equation-in-the-middle-east>

Energy consumption (GRI 302-1, 302-2, 302-3)	Unit	2017	2018	2019
<i>Non-renewable energy sources</i>				
Diesel	GJ	5,959,115	5,455,604	4,788,252
Petrol	GJ	646,560	348,456	234,462
Kerosene	GJ	42,945	10,405	2,875
Natural gas and LPG	GJ	2,033,091	1,200,705	3,905
Electricity	GJ	375,059	393,766	308,263
Total consumption from non-renewable energy sources	GJ	9,056,769	7,408,937	5,337,758
<i>Renewable energy sources</i>				
Electricity from renewable sources	GJ	254,958	200,415	148,619
Total internal energy consumption	GJ	9,311,728	7,609,352	5,486,377
Energy consumption - subcontractors	GJ	1,964,079	1,667,939	770,806
Total energy consumption	GJ	11,275,807	9,277,292	6,257,183
Energy intensity	GJ/€m	2,028	1,785	1,220

Direct and indirect GHG emissions (GRI 305-1, 305-2, 305-3, 305-4)	Unit	2017	2018	2019
Direct emissions (Scope 1)	tCO _{2e}	566,952	467,234	350,593
Indirect emissions (Scope 2)	tCO _{2e}	43,388	54,637	43,371
Other indirect emissions (Scope 3)	tCO _{2e}	137,577	117,528	61,573
Total GHG emissions	t CO_{2e}	747,917	639,399	455,537
Intensity of greenhouse gas emissions (Scope 1 and 2)*	t CO_{2e}/€ M	110	100	77

* The 2017 and 2018 data have been restated to exclude Scope 3 emissions as indicated in the "Methodology for reporting non-financial information" section.

The considerable reduction in natural gas and LPG in 2019 is due to the sale of Lane's Plants & Paving division in the US as it uses large quantities of these energy sources. The reduction in the consumption of diesel, petrol and electricity is also a result of the above sale. However, the smaller diesel consumption is mostly due to the lesser work carried out on the GERD and Koysha projects in Ethiopia. The large contraction in subcontractors' consumption, and related Scope 3 GHG emissions, is principally a result of the projects of Salini Polska (Poland), the Rogun project (Tajikistan) and the opening of the Copenhagen Cityringen metro in Denmark.

The Group's main energy rationalisation systems include the use of highly efficient vehicles and equipment, connecting its building site plants to electricity networks rather than diesel generators, carrying out regular maintenance programmes for its vehicles, improving power quality and informing its employees about the importance of energy saving.

Significant contributors to the reduction in GHG emissions are the projects to connect to the electricity grid systems, especially when the host country's energy mix is mostly made up of renewable energy. This is the case in Ethiopia, where the GERD hydropower project work site uses renewable energy generated by other hydropower plants already active in this country, shortly to be joined by the Koysha work site, where a power line to the national grid is currently being laid.

The following table shows the Group's initiatives to reduce its GHG emissions:

GHG emission reduction initiatives	Unit	2017	2018	2019
Active initiatives	no.	13	16	15
Reduction in GHG emissions	t CO ₂ e	53,202	42,440	52,253

Over the last three years, initiatives have been rolled out to improve the energy efficiency of industrial processes, to adapt current production processes, to adopt less polluting logistics options and to introduce awareness campaigns for employees. In addition, many of the Company's innovation, research and development projects (see the relevant section) have a strong environmental factor in terms of their energy efficiency and reduction in GHG emissions.

In addition to consumption and direct emissions, which the Group intends to contain over the next few years, Salini Impregilo works to reduce the indirect emissions from its related activities (transportation and travel of its employees) as much as possible. As well as the specific projects described in the section on innovation, research and development, the Company's procurement policy designed to mostly use local suppliers (94% in 2019) eliminates the need for long transport journeys, reducing the related emissions. When the goods are not available on the local market, the Group prefers to ship materials and machinery by sea as this is the means of transport with the lowest carbon footprint.

Over the last few years, the Group has equipped its offices and work sites with video conference systems which have reduced the number of business trips to those essential for operating reasons. Its travel policy favours travelling by train rather than by plane and the use of public transport rather than taxis.

When possible, contracts have personnel mobility management programmes designed to optimise transfers between work areas, the canteens and employee accommodation. They include the use of collective transport methods (buses) for blue collars and car-pooling for white collars at the work site offices.

Climate change risks

Climate change can provoke various types of risk for a business, depending on the nature of its operations and the markets where it operates.

The Company is mostly exposed to the risk of an increase in adverse weather events that can affect the normal scheduling and performance of its works leading to delays. This risk is not currently deemed high and is managed using the normal contract scheduling procedures, where the work programme (number of hours that can be worked per day and annual work days) is defined and updated considering weather forecasts, based on historical data available. Exceptional weather events that affect compliance with the timeline agreed with clients can be handled through the contract or by negotiation and usually lead to acceptance of a time extension and/or compensation for the higher costs incurred.

The risk of damage to assets by adverse weather conditions is also considered to be low, thanks to the related insurance contracts.

operations for which the Group manages their operations are the Arriyad New Mobility Consortium (Saudi Arabia), Civil Works Joint Ventures (Saudi Arabia), South Al Mutlaa Joint Venture (Kuwait) and Salini Impregilo - NGE Genie Civil (France).

More information on the in-scope entities is available in the section on the “Consolidation scope” in the notes to the consolidated financial statements.

The information in this Statement refers to the above scope. The data for the joint operations led by the Group are shown at 100%. Exceptions to the scope are listed below:

- data about the anti-corruption risk assessment refer to the consolidation scope of the consolidated financial statements;
- data about the labour force relate to the consolidation scope of the consolidated financial statements; with respect to the direct workforce, they are calculated in proportion to the Group's investment for the entities that qualify as joint operations or that are measured using the equity method;
- the environmental data does not include the offices (Milan, Rome and foreign branches) as they are not material;
- data about health and safety of workers and QEHS training include the companies that are not fully consolidated for which the Group manages their operations and exclude joint operations when its partners are responsible for management of the Health and Safety Systems;

Any specific limitations to the scope are specified in the text or in the GRI Content Index.

The 2017 and 2018 corresponding information relates to the scope of the Group's 2018 Consolidated Non-financial Statement, to which reference should be made. The data relating to the intensity of greenhouse gas emissions of 2017 and 2018 were restated considering just Scope 1 and 2 while the 2018 Statement also included Scope 3 emissions.

Calculation method

The data and information in this Statement are taken from the Group's information systems and a special non-financial reporting system introduced to meet the requirements of Legislative decree no. 254/2016 and the GRI Sustainability Reporting Standards. The data were processed using accurate calculations and, if specified, estimates. The methods used to calculate the main indicators are set out below.

Injury rates

The injury rates are calculated using the methods established by standard UNI 7249 “Statistics on occupational injuries”. They show the number of injuries leading to lost work days (LTIFR) and the number of recordable injuries for every million hours worked (TRFR).

Specifically, the LTIFR (Lost Time Injury Frequency Rate) is calculated as the ratio of the total number of injuries leading to absence from work in the period (including death) to the total number of hours worked, multiplied by 1,000,000.

The TRFR (Total Recordable Injury Frequency Rate) is calculated as the ratio of total recordable injuries (calculated considering deaths, injuries leading to absence from work, injuries only requiring medical treatment and injuries leading to assignment of reduced workloads in countries where this is allowed) to the total number of hours worked, multiplied by 1,000,000.

Any commuting injuries during the period are not considered.

Energy consumption and GHG emissions

The calculation of direct energy consumption is based on the conversion factors provided by the UK Department for Business, Energy & Industrial Strategy - BEIS (2016 Government GHG Conversion Factors for Company Reporting). Internal energy consumption refers to the in-scope entities' direct activities. Indirect energy consumption, like scope 3 emissions, refer to activities performed by subcontractors. The Group monitors its emissions data using an operating control approach.

Calculations of the Group's GHG emissions are based on:

- the emission factors defined by the standard parameters of the UK Department for Business, Energy & Industrial Strategy – BEIS (2016 Government GHG Conversion Factors for Company Reporting) for fuel consumption - the calculation includes CO₂, CH₄ and N₂O gases;
- the emission factors provided by the International Energy Agency (CO₂ Emissions from Fuel Combustion, 2013 edition, 2011 data) for electric energy consumption;
- the emission factors provided by the IPCC (Fourth Assessment Report AR4 100yr) to convert CH₄ and N₂O into CO₂ equivalent.

The energy intensity rates and the GHG emission rates are calculated by comparing the total data (energy consumption and GHG emissions) to revenue for the period. Specifically, the intensity rate for GHG emissions includes the sum of Scope 1 and Scope 2 emissions.

Water use

Data about water not taken from aqueducts, not obtained from other sources (e.g., water tanks) and not measured using meters are calculated considering the withdrawal systems' capacity (pump capacity in the average number of working hours) or production activity performed in the period.

Waste

The data refers to waste generated by the in-scope contracts in line with the locally-applicable regulations. When the data is expressed as a volume, the related weight is calculated using specific conversion factors. Information

about the allocation methods for EU projects (i.e., how the waste is treated: recovery or disposal) is based on its legal classification. The methods used for non-EU projects reflect the conditions of the contracts agreed with third party waste management companies.

102-49	Changes in reporting: no significant changes in the material topics. Moreover, the scope of the material topics is the same as that for the previous period.	
102-50	Reporting period: 2019	
102-51	Date of most recent report: The 2018 Consolidated Non-financial Statement was published on 24 April 2019.	
102-52	Reporting cycle: Annual	
102-53	Contact point for questions regarding the report: sustainability@salini-impregilo.com	
102-54	Claims of reporting in accordance with the GRI standards: p. 165	
102-55	GRI Content Index: p. 173	
102-56	External assurance: p. 178	
GRI 200 Economic		
GRI 201 Economic performance (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 10	
201-1	Direct economic value generated and distributed: The direct economic value generated by the Group in 2019 amounted to €5,076 million, including €4,905 million which was distributed and €171 million which was retained. Specifically, €3,716 million was distributed to suppliers (operating costs), €791 million to employees (remuneration and benefits), €262 million to the lenders, €109 million to the public administration (taxes) and €27 to the shareholders.	
GRI 202 Market Presence (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 159	6
202-2	Proportion of management hired from the local community: p. 159. The term manager refers to persons who hold management positions as part of the contract and head a department/unit. In the case of EU resources, it refers to the contractual definition of a manager. Local employees are those who are hired in the same country as that in which they reside.	6
GRI 203 Indirect Economic Impacts (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 161	
203-1	Infrastructure investments and services supported: p. 161. The total value of initiatives to assist local areas includes monetary donations (27.1%), sponsorships (54.8%) and contributions in kind (18.1%) (e.g., labour, materials, machinery).	
GRI 204 Procurement Practices (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 159	
204-1	Proportion of spending on local suppliers: p. 159. Local suppliers are those with a registered office in the same country in which the Group's projects are taking place.	
GRI 205 Anti-corruption (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 151	10
205-1	Operations assessed for risks related to corruption: p. 151. 147 companies were included in the assessment scope.	10
GRI 300 Environmental		
GRI 301 Materials (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 146	7, 8
301-1	Materials used by weight or content: p. 146. The Group does not use significant renewable materials for its core activities while it can use recycled or recovered materials, as described in the relevant section.	7, 8
GRI 302 Energy (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 135	7, 8, 9
302-1	Energy consumption within the organisation: p. 135, p. 171	7, 8, 9
302-2	Energy consumption outside of the organisation: p. 135, p. 171. Significant external energy consumption refers to the Group's subcontractors.	7, 8, 9
302-3	Energy intensity: p. 135, p. 171	7, 8, 9
GRI 303 Water (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 146	7, 8

303-1	Interactions with water as a shared resource: p. 146. Water withdrawn in areas subject to water stress: the Group did not withdraw water in areas subject to water stress during the year. Areas subject to water stress are those classified as extremely high risk by the Water Risk Atlas recently published by World Resources Institute.	7, 8
GRI 304 Biodiversity (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 149	8
304-1	Operational sites owned, leased, managed in, or adjacent to, protected areas or areas of high biodiversity value outside protected areas: p. 149	8
GRI 305 Emissions (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 135	7, 8, 9
305-1	Direct (Scope 1) GHG emissions: p. 135, p. 171	7, 8, 9
305-2	Indirect (Scope 2) GHG emissions: p. 135, p. 171. The location-based method was used to calculate the Scope 2 GHG emissions.	7, 8, 9
305-3	Other indirect (Scope 3) GHG emissions: p. 135, p. 171	7, 8, 9
305-4	GHG emissions intensity: p. 135, p. 171	7, 8, 9
GRI 306 Effluents and Waste (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 147	8
306-2	Waste by type and disposal method: p. 147, p. 171	8
GRI 307 Environmental Compliance (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 140	8
307-1	Non-compliance with environmental laws and regulations: p. 140	8
GRI 308 Supplier Environmental Assessment (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 155	8
308-1	New suppliers that were screened using environmental criteria: p. 155. Specifically, in 2019, 88% of the new suppliers were screened using environmental criteria.	8
GRI 400 Social		
GRI 401 Employment (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 110	6
401-1	New employee hires and employee turnover: p. 110. Specifically, in 2019, 6,247 people joined the Group (entry rate of 26%), including 2,448 under 30 years of age (39%), 3,228 between 30 and 50 (52%) and 571 over 50 (9%). The geographical distribution of employees is as follows: 2,094 in Africa (34%), 553 in the Americas (9%), 655 in Europe (10%), 2,945 in Asia and Oceania (47%). During the year, people that left the Group, including the transfers of resources among group sites, numbered 12,501 (exit rate of 52%), including 3,137 under 30 (25%), 7,266 between 30 and 50 (58%) and 2,099 over 50 (17%). The geographical distribution of the leavers is as follows: 2,452 in Africa (20%), 2,293 in the Americas (18%), 2,565 in Europe (21%), 5,191 in Asia and Oceania (42%). The turnover rates were calculated using the average employee numbers for the period.	6
GRI 402 Labour/Management Relations (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 125	3
402-1	Minimum notice periods regarding significant changes: The minimum notice period to communicate significant operating personnel changes for Salini Impregilo is set by collective employment contracts and relevant local laws. It varies from four to 26 weeks for managers, two to 12 weeks for office staff and one to eight weeks for blue collars.	3
GRI 403 Occupational Health and Safety (2018)		
103-1, 103-2, 103-3	Management approach disclosures: p. 117	
403-1	Occupational health and safety management system: p. 117. The Health and Safety Management System is installed at the Italian head offices (corporate), direct contracts, joint operations where the Group manages the operational activities or has specific agreements with its partners. Its system is not used by the joint operations where health and safety management is the responsibility of its partners.	

403-2	Hazard identification, risk assessment, and incident investigation: p. 117	
403-3	Occupational health services: p. 117	
403-4	Worker participation, consultation, and communication on occupational health and safety: p. 117	
403-5	Worker training on occupational health and safety: p. 117	
403-6	Promotion of worker health: p. 117	
403-7	Prevention and mitigation of occupational health and safety impacts directly linked by business relationships: p. 117	
403-9	Work-related injuries: p. 117. Despite the stringent assessments of risks and operating controls, two fatal injuries took place in 2019 involving direct employees (0.03%) and four involving employees of subcontractors (0.05%). The serious injuries, calculated in accordance with Italian legislation (sick leave of more than 40 days), involved 11 direct employees (0.14%) and four employees of subcontractors (0.05%). The total number of recordable injuries was 499 for the direct employees (6.45%) and 392 for employees of subcontractors (5.01%). The main types of injury were wounds, bruises and fractures.	
GRI 404 Training and education (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 111	6
404-1	Average hours of training per year per employee: p. 111, p. 168. In 2019, technical and production employees received an average of 12 hours of training per capita, while office employees received four hours. During the year, the per capita training hours provided to corporate employees amounted to 40 for men and 44 for women. This figure is not significant for the operating units given the strong predominance of male resources.	6
GRI 405 Diversity and Equal Opportunity (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 125	6
405-1	Diversity of governance bodies and employees: reference is made to the report on corporate governance and the ownership structure for full disclosure on the diversity of governance bodies p. 125 (diversity of employees).	6
GRI 406 Non-discrimination (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 125	6
406-1	Incidents of discrimination and corrective actions taken: p. 125. The Group received four notifications of alleged discrimination from Lane's employees during the year. These notifications were handled in accordance with Lane's internal procedures. At year end, two cases had been settled and two were under investigation.	6
GRI 407 Freedom of Association and Collective Bargaining (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 125	3
407-1	Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk: p. 125	3
GRI 408 Child Labour (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 125	5
408-1	Operations and suppliers at significant risk for incidents of child labour: p. 124	5
GRI 409 Forced or Compulsory Labour (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 125	4
409-1	Operations and suppliers at significant risk for incidents of forced or compulsory labour: p. 125	4
GRI 410 Security Practices (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 125	1
410-1	Security personnel trained in human rights policies or procedures: p. 125. As described in the section on Human rights, security personnel undergo initial training and regular refresher courses provided by the local managers in line with a training plan defined to comply with the applicable standards and regulations. These courses include information on respect for the individual, human rights and the Code of Ethics.	1
GRI 411 Rights of Indigenous Peoples (2016)		
103-1, 103-2, 103-3	Management approach disclosures: p. 125	1
411-1	Incidents of violations involving rights of indigenous peoples: p. 125. No instances (e.g., legal action) for the violation of indigenous rights took place in the year.	1